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2027 CYCLE

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CUET UG

Political Science

Politics of Planned Development

Official Syllabus · Politics in India Since Independence · Class 12 · CUET UG 2027 Cycle Notes

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Syllabus Alignment

Sub-topic	Official syllabus pointer (NTA CUET(UG) Political Science syllabus 2026, the current 2027 baseline — Politics in India Since Independence)	Skills the questions test
Five year plans	Five year plans — the planning machinery, the First and Second Plans, and the models behind them	Pairing plans with their priorities and models; recalling the Commission's design.
Expansion of state sector	Expansion of state sector — IPR 1956, public-sector undertakings, nationalisations	Explaining how and why the state became the economy's engine — and what it cost.
Rise of new economic interests	Rise of new economic interests — industry, farmers and workers organised around the plan state	Identifying which groups grew with planning and how each pressed its claims.

EXAM PATTERN

CUET UG pattern (NTA official information bulletin and syllabus, 2026 cycle — the current 2027 baseline): each subject paper carries **50 compulsory questions** in **60 minutes**, with +5 for every correct answer and −1 for every incorrect answer. This unit rewards pairing questions — plan with model, schedule with content, plant with collaborator country — so learn each item WITH its partner, never alone.

What "Development" Meant: The Battle of Ideas

Planning was not just an economic technique — it was India's answer to the question "what did freedom come FOR?" The 1940s and 1950s hosted a full-choir argument over that answer, and the syllabus's "five year plans" only make sense once you know the argument's lines.

- **The Left's case — Nehru's vision:**
  - Poverty could not be cured by small, slow steps — India needed **heavy industry fast**: steel, machinery, power — "machines that make machines".
  - Only the STATE could mobilise that much capital in a poor country where private wealth was thin and timid.
  - **The destination:** a "socialistic pattern of society" — growth WITH equality, the public sector holding the commanding heights.
- **The Right's caution — Rajaji and later the Swatantra Party:**
  - A state that owns the economy becomes a state that **permits** everything — permits breed queues, queues breed inspectors, inspectors breed corruption.

- Free farmers and free businesses would grow faster if the state built roads and schools and then stepped aside.
- (This voice organised politically as the **Swatantra Party in 1959** — the previous chapter's right-of-centre opposition.)

- **The Gandhian middle:**
  - Villages FIRST: revive **handicrafts, khadi and village industries**, keep capital small and employment local — steel mills can wait; starvation cannot.
  - The plans absorbed this partially — **community development programmes** (1952) carried the village-improvement spirit, but the money flowed to dams and plants.
- **The surprise — the Bombay Plan (1944-45):**
  - India's biggest INDUSTRIALISTS (the Tata-Birla circle and allies) themselves demanded **state-led heavy industry**, protection from imports and public investment in infrastructure.
  - **Why it matters:** the planning consensus was never "state versus business" — big business ASKED for the state's muscle, confident it could live profitably inside it. This one fact reverses most students' assumptions.

THE FAMILY CAR DECISION

A poor joint family debates: buy a scooter now (quick mobility, Gandhian), save for a truck (income machine, Nehruvian), or wait and see (Rajaji's caution)? The family buys the TRUCK — one big purchase, everyone agrees it will pay later. The mapping: truck = heavy industry; family savings = state capital; the eldest brother who drives and decides = the Planning Commission; the uncle grumbling "who will fill the fuel?" = the Swatantra critique. The truck DID raise income — but the fuel bills (foreign exchange for machinery and food) arrived sooner than the income did.

The Machinery: Planning Commission, NDC and the Plan Cycle

- **The Planning Commission (March 1950):**
  - Created by a **Cabinet resolution** — NOT by a law of Parliament, NOT by the Constitution. It is **extra-constitutional and advisory**: it plans, others execute.
  - **The Prime Minister is its chairman by design** — Nehru chaired it himself, making planning a prime-ministerial instrument, not a ministry's chore.
  - **Why an outside body?** Nehru wanted economists and scientists (the Mahalanobis circle) free from departmental turf wars — a "brain trust" above the ministries.
- **The National Development Council (1952):**
  - The **federal counterweight**: PM + all Chief Ministers (plus Commission members) — the table where state governments agree to (or soften) plan targets.
  - **The logic:** plans succeed only with state cooperation (land, agriculture, education are state subjects) — so the states had to be INSIDE the process, not ordered by it.
- **The plan cycle:**
  - **Five-year plans** with annual reviews; targets set for growth, savings, employment and imports.

- **The First Plan (1951-56):** agriculture and irrigation first — the **Harrod-Domar** growth arithmetic; food was the binding constraint after Partition.
- **Its verdict:** a clear SUCCESS — the target of about **2.1% growth was beaten (3.6%)**, helped by good monsoons and modest ambitions. Food output rose, inflation cooled, the young state banked credibility.

- **The Second Plan (1956-61) — the turn:**
  - **P.C. Mahalanobis's two-sector model:** invest in capital goods (machines) first; consumer comforts can wait. Rapid industrialisation = rapid long-run growth.
  - **Its verdict:** industrial base genuinely built — but **machinery imports + food imports collided in a foreign-exchange crisis by 1957-58**; growth targets were nearly met while the balance of payments bled.

Expanding the State Sector: The Public Economy Rises

The Second Plan needed a policy engine — and the state built itself one. Between 1955 and 1957 the Congress gave planning an official ideology, industry got its rulebook, and the public sector became the economy's spine. This is the syllabus's "expansion of state sector" — learn it as four moves.

- **Move 1 — the ideology (Avadi, January 1955):**
  - The Congress session at **Avadi** adopted a **"socialistic pattern of society"** as the party's official goal — planning was no longer just economics; it was the national faith.
  - **What it meant in practice:** not Soviet-style nationalisation of everything — but public ownership of the strategic heights with private enterprise tolerated below them.
- **Move 2 — the rulebook (Industrial Policy Resolution, 1956):**
  - **Schedule A — 17 industries EXCLUSIVE to the state:** railways, steel, mining, atomic energy, aircraft, shipbuilding… the state's reserved kingdom.
  - **Schedule B — state-LED industries with private entry allowed:** the state sets up new units and gradually acquires a monopoly position.
  - **Schedule C — the rest for private hands, but under LICENCE:** capacity, location and output all needed the government's yes — the **licence raj** is born here.
  - **The contrast students miss:** IPR 1956 socialised the FUTURE (new heavy units would be public) — it did not confiscate the existing private economy.
- **Move 3 — the landmarks on the ground:**
  - **Steel plants with many flags: Bhilai with the USSR (1959), Rourkela with West Germany, Durgapur with the UK** — foreign collaboration from BOTH Cold War blocs, non-alignment poured into concrete.
  - **Financial takeovers: Imperial Bank became the State Bank of India (1955)**; **life insurance was nationalised — LIC (1956)** — household savings now flowed through public channels into the plan.
  - **The wider public sector:** multipurpose river-valley dams (Bhakra-Nangal), power stations, research laboratories — the state as builder, banker and employer at once.
- **Move 4 — the control apparatus:**
  - **Licences, permits, import controls, price controls** — every private entry into industry or imports passed a government desk.

- **The intended purpose:** steer scarce capital into plan priorities and prevent monopoly concentration.
- **The actual result:** queues and delays, "licence-quota-permit raj", inspectors with pricing power, and licences hoarded as entry barriers — inefficiency froze into the system (the critique 1991 finally dismantled).

The Food Chain: From Plan Crisis to Green Revolution

- **The crisis (1957-58):**
  - The Second Plan's machinery imports met a food shortfall — foreign exchange sank toward emergency levels within two years of the industrial turn.
  - **The rescues:** food imports under **America's PL-480** (wheat against rupee payments) + tight import controls — the republic stayed fed, but dependent.
- **The agricultural politics underneath:**
  - **"Grow More Food" campaigns, irrigation projects and fertiliser pushes** ran through the 1950s and early 1960s — with patchy results.
  - **Land reforms stalled:** zamindari abolition moved, but ceilings and tenancy security died in state assemblies — the same Congress that ruled the Centre also housed the landlords' interests in the states. The plan wanted reform; the states delayed it.
  - **The war years' shocks (1962, 1965) and droughts (1965-66)** pushed agriculture to emergency priority.
- **The Green Revolution (from 1966) — the exit from the crisis:**
  - The package: **high-yielding variety seeds + assured irrigation + chemical fertilisers + pesticides** — applied together, mainly on **wheat and rice**.
  - **Where it worked first: Punjab, Haryana and western Uttar Pradesh** — regions with canals and big farmers. Foodgrain output surged; the famine fear died; PL-480 dependence wound down.
  - **The political aftershock (the syllabus's key line):** prosperous farmers became a **new economic interest** — organised, vocal, and powerful enough in state politics to demand (and get) fertiliser, power and price support. Subsidies became permanent politics.

The Rise of New Economic Interests

Every rupee the plan state spent created a constituency watching the next rupee. Planning did not just move resources — it **created groups organised around those resources**. Three matter for this chapter.

- **Big industry — the insiders-turned-critics:**
  - **Inside the plan:** licences, protection from imports, and guaranteed public orders made industrial houses wealthy.
  - **The turn:** by the 1960s the same class complained about permits and inspectors — its free-market frustration found a party home in **Swatantra** (1959). Interest politics: demanding the state when it pays, cursing it when it gates.
- **Rich farmers — the new rural power:**

- **Who they became:** canal-region, HYV-adopting cultivators with surpluses — a class created partly BY plan investments.
- **What they organised for:** fertiliser and electricity subsidies, procurement (minimum) prices, credit — and against land ceilings.
- **Where they acted:** through state politics — ministers, movements and later dedicated agrarian parties. **The effect on planning:** successive plans had to buy rural peace with input subsidies, crowding out other priorities.

- **Organised workers:**
  - **The base:** public-sector expansion multiplied secure industrial jobs — railways, steel plants, banks, insurance — each with unions.
  - **The instrument:** strikes and collective bargaining became normal — the state was now the country's biggest employer, so wage disputes became political events.
  - **The pattern to quote: the state's growth multiplied interest groups; each group then constrained what the state could do next** — the core political economy lesson of the chapter.

THE CHAPTER'S CAUSE-AND-EFFECT SPINE

- **Bombay Plan consensus** → state-led heavy industry chosen.
- **First Plan (agriculture) succeeds** → confidence rises.
- **Avadi 1955 + Mahalanobis** → Second Plan turns industrial.
- **IPR 1956 + licences + takeovers** → state sector expands.
- **Imports outpace exports** → 1957-58 crisis → PL-480.
- **Crisis + stalled reforms** → Green Revolution 1966.
- **Plan investments create winners** → industry, farmers, workers organise → interest politics.

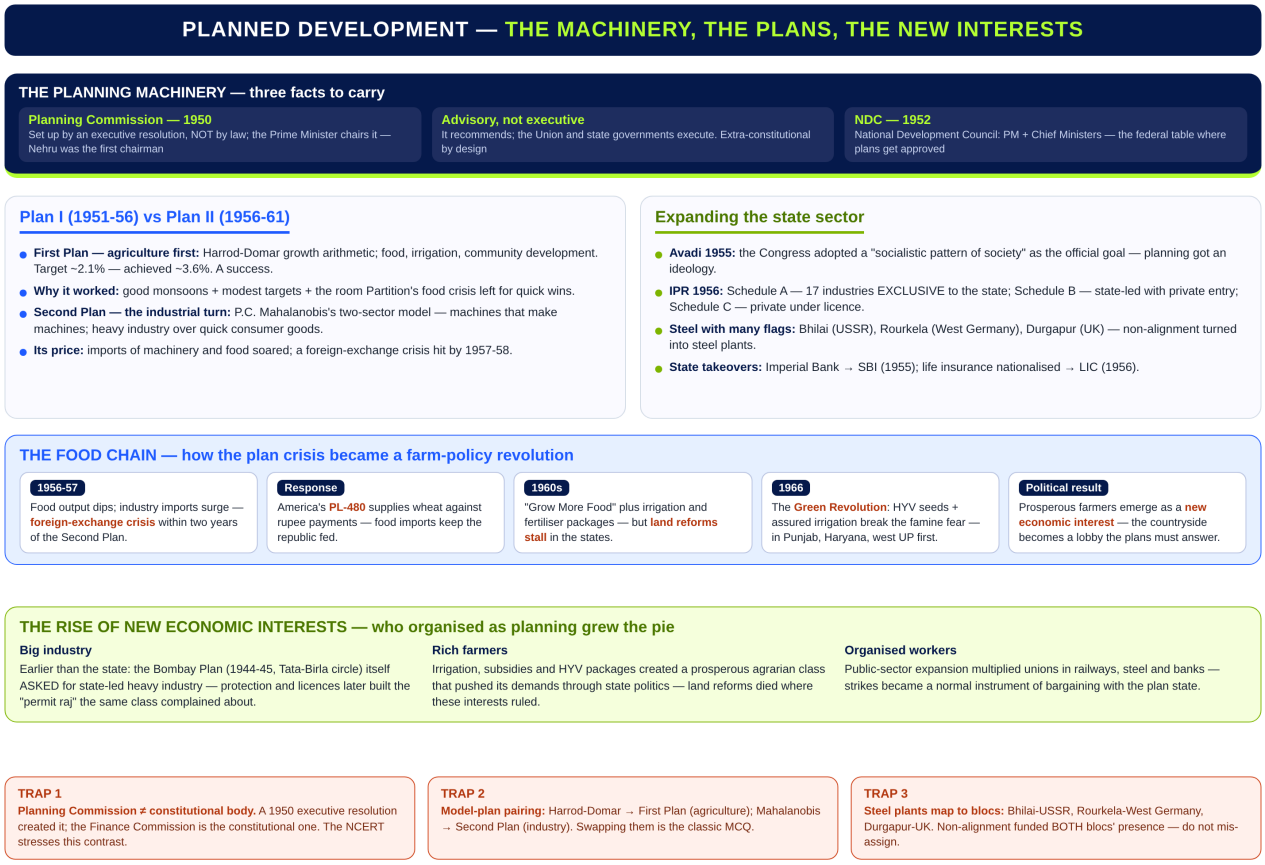


Figure 1: Planned development's engine: the machinery, the two plans compared, the state-sector moves, the food chain from crisis to Green Revolution, and the interests that organised around the plan state.

Key Facts & Terms: One-Stop Revision

POLITICS OF PLANNED DEVELOPMENT — EVERY FACT ON ONE PAGE

Term / fact	Meaning / statement	Exam use
Development debate	Left: state-led heavy industry; Right: free economy; Gandhians: village-first	"whose view" questions
Bombay Plan 1944-45	Big industrialists (Tata-Birla circle) demanded state-led industry	Assumption-reversal questions
Planning Commission	March 1950; executive resolution; advisory; PM chairs — Nehru first	Body-and-year questions
NDC 1952	PM + Chief Ministers approve plans — the federal seal	Body-matching questions
First Plan 1951-56	Agriculture + irrigation; Harrod-Domar; 2.1% target, 3.6% achieved	Model-plan pairing

Term / fact	Meaning / statement	Exam use
Second Plan 1956-61	Heavy industry; Mahalanobis two-sector model	Model-plan pairing
Avadi 1955	Congress adopts "socialistic pattern of society"	Ideology questions
IPR 1956 Schedule A	17 industries exclusive to the state	Schedule-matching
IPR 1956 Schedules B-C	B: state-led with private entry; C: private under licence	Schedule-matching
Steel plants	Bhilai-USSR, Rourkela-West Germany, Durgapur-UK	Country-plant pairing
SBI 1955 / LIC 1956	Imperial Bank taken over; life insurance nationalised	Takeover-year questions
Licence raj	Licences, permits, import-price controls — intended steering, actual queues	Critique questions
1957-58 crisis	Machinery + food imports collide; foreign exchange sinks	Sequence questions
PL-480	US law: wheat against rupees — the food-import lifeline	Full-form-and-purpose questions
Land reforms stall	Ceilings and tenancy die in state assemblies — rural elites block	"why stalled" questions
Green Revolution	From 1966: HYV + irrigation + fertiliser; Punjab-Haryana-west UP first	Package questions
New economic interests	Big industry, rich farmers, organised workers — each born of the plan state	Syllabus-line questions
Swatantra 1959	Industrialists' free-market critique gets a party	Link-the-era questions

Common Errors & Special Cases

THE TRAPS THIS UNIT SETS — READ BEFORE THE MOCK

The rule you assume	The twist	The trap in the question
"The Planning Commission is constitutional"	It is an advisory body born of a 1950 executive resolution — extra-constitutional	Body-nature questions
"Business opposed planning"	The Bombay Plan shows big business ASKING for state-led industry	Assumption-reversal traps
"Harrod-Domar powered the Second Plan"	Harrod-Domar: First Plan; Mahalanobis: Second — never swap	Model-plan pairing
"IPR 1956 nationalised everything"	Only the FUTURE of 17 industries was reserved; existing private firms stayed	Scope questions
"Schedule B was fully private"	Schedule B was state-LED with private entry — Schedule C was the licensed private zone	Schedule precision
"Bhilai was built with the West"	Bhilai-USSR; Rourkela-West Germany; Durgapur-UK	Country-plant pairing
"The Green Revolution fixed farming everywhere"	It lifted irrigated wheat-rice belts first — Punjab, Haryana, west UP	Region-precision traps
"Interest groups opposed the plan state"	They GREW OUT of it and then constrained it — insiders, not enemies	"rise of interests" questions

The 60-Second Self-Test

Cover the answers, say each one aloud, then check. If any answer takes longer than ten seconds, revisit that section.

- **Who chaired the Planning Commission, and why does that matter?** → The Prime Minister — Nehru himself — making planning a PM-led instrument.
- **First Plan: priority, model, verdict?** → Agriculture + irrigation; Harrod-Domar; success (2.1% target, 3.6% achieved).
- **Second Plan: model and consequence?** → Mahalanobis heavy industry; built the base but triggered the 1957-58 foreign-exchange crisis.
- **The IPR 1956 schedules in one line each?** → A: 17 industries state-exclusive; B: state-led with private entry; C: private under licence.

- **Match the steel plants.** → Bhilai-USSR, Rourkela-West Germany, Durgapur-UK.
- **What were PL-480 and LIC?** → PL-480: US food imports against rupees; LIC: the 1956 life-insurance nationalisation.
- **Name the three new economic interests.** → Big industry, rich farmers, organised workers — all organised around the plan state.

The Whole Chapter in One Picture



Figure 2: Chapter mindmap: the development debate, machinery, industrial turn, state-sector expansion, food politics and new interests — with the traps that catch most students.

Practice Questions (Exam Pattern)

Ten questions in the CUET UG style. Attempt all of them — the paper gives +5 for each correct answer and −1 for every incorrect answer.

Q1. The Planning Commission was set up in:

(A) 1947 (B) 1950
(C) 1952 (D) 1956

Q2. The Planning Commission is best described as:

(A) a constitutional body
(B) a statutory body created by Parliament
(C) an advisory extra-constitutional body chaired by the Prime Minister
(D) a judicial tribunal for plan disputes

Q3. The First Five Year Plan (1951-56) gave top priority to:

(A) heavy industry
(B) exports
(C) defence
(D) agriculture and irrigation

Q4. The model that shaped the Second Five Year Plan's industrial strategy was associated with:

(A) Harrod and Domar
(B) P.C. Mahalanobis
(C) John Maynard Keynes
(D) Amartya Sen

Q5. The Indian National Congress adopted the goal of a "socialistic pattern of society" at its:

(A) Avadi session, 1955
(B) Nagpur session, 1959
(C) Bhubaneswar session, 1964
(D) Karachi session, 1931

Q6. Under the Industrial Policy Resolution of 1956, Schedule A listed:

(A) 17 industries reserved exclusively for the state
(B) 12 industries for private enterprise
(C) industries open to foreign companies only
(D) village and handicraft industries

Q7. The Bhilai steel plant was set up with the collaboration of:

(A) the United Kingdom
(B) West Germany
(C) the Soviet Union
(D) the United States

Q8. Life insurance was nationalised in 1956, creating:

(A) the Reserve Bank of India
(B) the State Bank of India
(C) the Life Insurance Corporation (LIC)
(D) the Industrial Development Bank

Q9. The Bombay Plan (1944-45) was drafted by:

(A) socialist party leaders
(B) big industrialists such as the Tata-Birla circle
(C) Gandhian village economists
(D) communist party economists

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Q10. PL-480, which supplied India with imported wheat, was:

(A) a five-year plan document
(B) an Industrial Policy Resolution schedule
(C) a licensing category for imports
(D) an American law under which food was sold against rupee payments

Detailed Solutions

Each solution shows the reasoning, not just the verdict — cover the answer line, attempt the question, then compare.

Sol. Q1. March 1950 — by a Cabinet resolution, two and a half years after independence. 1952 belongs to the NDC; 1956 to the Second Plan era.

Answer: (B)

Sol. Q2. It is extra-constitutional (executive resolution) and advisory (it plans; ministries execute), with the Prime Minister as its chairman — Nehru was the first. No statute and no constitutional article created it.

Answer: (C)

Sol. Q3. Food was the binding constraint after Partition, so the First Plan poured investment into agriculture and irrigation — under the Harrod-Domar growth arithmetic — and beat its 2.1% growth target with 3.6%.

Answer: (D)

Sol. Q4. P.C. Mahalanobis — the statistician who designed the Second Plan's two-sector model prioritising capital goods. Harrod-Domar belongs to the First Plan.

Answer: (B)

Sol. Q5. Avadi, January 1955 — the session that made a "socialistic pattern of society" the party's official goal, one year before the IPR 1956 gave it an industrial rulebook.

Answer: (A)

Sol. Q6. Schedule A reserved 17 heavy and strategic industries (railways, steel, mining, atomic energy…) exclusively for the state. Schedule B was state-led with private entry; Schedule C was licensed private territory.

Answer: (A)

Sol. Q7. Bhilai grew with Soviet collaboration — the USSR. Rourkela paired with West Germany and Durgapur with the UK: non-alignment's footprint in steel.

Answer: (C)

Sol. Q8. Life insurance nationalised in 1956 became the LIC — household savings now channelled into public hands. The State Bank of India (1955) was the Imperial Bank's takeover; the RBI dates to 1935.

Answer: (C)

Sol. Q9. The Bombay Plan came from leading industrialists — the Tata-Birla circle — asking for state-led heavy industry and protection: business itself requested the plan state.

Answer: (B)

Sol. Q10. PL-480 was the United States' Public Law 480 — wheat supplied against rupee payments that kept India fed through the late-1950s and 1960s food gap.

Answer: (D)

Wrong-Answer Clinic — the one-line corrections

Dropped marks above? Find your slip here and rewrite the corrected rule in your own words.

If you answered...	Your slip was...	The corrected rule, in one line
Q1 option C	Pairing the NDC's year with the Commission's	Commission: 1950 (resolution); NDC: 1952 (federal approval table)
Q2 option A	Assuming every big body is constitutional	Extra-constitutional + advisory + PM-chaired — the Finance Commission is the constitutional one
Q3 option A	Letting the Second Plan's face cover the First	First = agriculture (Harrod-Domar); Second = heavy industry (Mahalanobis)
Q6 option B	Trusting a half-remembered schedule list	Schedule A = 17 industries, state-exclusive — the reserved kingdom
Q7 option B	Mixing the German and Soviet plants	Bhilai-USSR; Rourkela-West Germany; Durgapur-UK — assign by name
Q10 option B	Confusing trade law with policy schedule	PL-480 = US food law; IPR schedules classify industries, not food deals

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